

Root Cause Thinking: The 5 Whys Framework

Strong case teams do not solve surface-level problems — they solve root causes.

The 5 Whys framework is a simple but powerful tool used to uncover the true origin of a problem by repeatedly asking “Why?” until the fundamental issue is identified.

How It Works:

Instead of stopping at the first explanation, you continue asking why each issue occurred until you uncover the core breakdown.

Key Principle:

If you eliminate the root cause, all downstream issues disappear.

Why This Matters in Case Competitions:

- Prevents shallow recommendations
- Ensures your solution addresses the real problem
- Strengthens the logical foundation of your proposal

Important:

Your final recommendation must be:

- Operationally feasible
- Financially justified
- Technologically realistic
- Logically connected to the root issue

Structured Problem Solving Process

Effective teams follow a structured, repeatable process when solving cases.

The Core Process:

1. Define the problem clearly
2. Structure the problem into logical components
3. Prioritize the most important issues
4. Develop hypotheses and issue analyses
5. Conduct targeted analyses
6. Synthesize findings
7. Develop a focused recommendation

Questions to Guide Your Thinking:

- What impact does this problem have?
- What are the key drivers of the issue?
- What matters most?
- Where should we focus our time?
- What are we trying to prove or disprove?
- So what? What do these findings imply?
- What should the company do?

Structured thinking improves:

- Speed
- Clarity
- Efficiency
- Executive-level communication

Communicating Your Story: SCR Framework

Great analysis means nothing if it is not communicated clearly.

Use the **Situation – Complication – Resolution (SCR)** structure.

Situation

Provide context.

- Who is the company?
- What market are they in?
- What relevant background is needed?

Complication

Introduce the core problem.

- What is going wrong?
- Why is it urgent?
- How does it impact the company and customers?

Resolution

Present your solution.

- Directly tie it to the complication.
- Ensure it is practical and measurable.
- Make the recommendation specific, not vague.

SCR creates executive-ready storytelling.

Understanding a Company: What, How, Why

Before analyzing a company, understand it at three levels:

What

What products or services does the company offer?

How

How does the company operate?

- Business model
- Distribution channels
- Operational strengths
- Unique capabilities

Why

Why does the company exist?

- Mission
- Core values
- Strategic intent

Understanding all three levels helps you:

- Identify alignment gaps
- Spot strategic inconsistencies
- Develop stronger positioning recommendations

SWOT Analysis

SWOT evaluates internal and external positioning.

Strengths (Internal Advantages)

- Core competencies
- Brand reputation
- Strong financial position
- Operational efficiency
- Loyal customer base

Weaknesses (Internal Gaps)

- Inefficiencies
- High costs
- Skill shortages
- Weak systems
- Brand perception issues

Opportunities (External Growth Drivers)

- Emerging markets
- New technologies
- Regulatory changes
- Industry growth
- Untapped customer segments

Threats (External Risks)

- Competition
- Substitutes
- Economic downturn
- Regulation
- Technological disruption

Use SWOT to:

- Frame strategic positioning
- Connect external forces to internal capabilities

VRIO Model: Testing Competitive Advantage

VRIO evaluates whether a company's resource creates sustainable competitive advantage.

Value

Does the resource help exploit opportunities or neutralize threats?

Rarity

Is the resource controlled by few or no competitors?

Imitability

Is it difficult or costly to replicate?

Organization

Is the firm structured to fully leverage the resource?

If all four conditions are met, the company likely has sustainable competitive advantage.

This framework is especially powerful when:

- Evaluating infrastructure
- Assessing brand power
- Analyzing proprietary technology

PESTLE Analysis: Macro-Environment Analysis

PESTLE examines external forces affecting the business environment.

Political

- Government stability
- Tax policies
- Trade regulations
- Public spending

Economic

- Interest rates
- Inflation
- Employment levels
- GDP growth
- Purchasing power

Social

- Demographics
- Cultural trends
- Consumer preferences
- Workforce skills

Technological

- Innovation rate
- Automation adoption
- Digital transformation
- Data infrastructure

Legal

- Labor laws
- Compliance requirements
- Intellectual property protections
- Consumer protection regulations

Environmental

- Climate regulations

- Sustainability expectations
- Resource constraints
- ESG pressures

PESTLE is especially useful when:

- Entering new markets
- Evaluating expansion
- Assessing long-term industry shifts

Porter's Five Forces: Industry Attractiveness

This framework evaluates competitive intensity and profit potential.

Competitive Rivalry

- Number of competitors
- Price competition
- Marketing intensity
- Market growth rate

Threat of New Entrants

- Capital requirements
- Regulatory barriers
- Economies of scale
- Distribution access

Supplier Power

- Supplier concentration
- Switching costs

- Uniqueness of inputs

Buyer Power

- Price sensitivity
- Availability of alternatives
- Information access
- Purchase volume

Threat of Substitutes

- Alternative solutions
- Relative performance
- Switching costs

Porter's Five Forces helps determine:

- Whether an industry is structurally attractive
- Where profit pressure originates
- Where differentiation matters most

Quantifying Recommendations

Strong recommendations must include numbers.

Even when data is incomplete, you must estimate magnitude.

Executives want to know:

- Is this a \$100K idea?
- A \$1M opportunity?
- A \$10M transformation?

Three Ways to Quantify:

1. Make qualified assumptions
Example:
 $\text{Market size} \times \text{Expected market share} = \text{Revenue estimate}$
2. Use industry benchmarks
Apply performance improvements seen in similar projects
3. Use analogous past cases
Compare cost savings or revenue lift from related companies

Strong Data Sources:

- Consulting firm reports (Deloitte, McKinsey, Bain, BCG, Accenture)
- Industry association reports
- OECD or government databases
- CBInsights
- Company annual reports
- Comparable case studies